Swiss Confederation Debt Issuance

Instruments, Practices, and Data

SNB_MoPo project | github.com/ThomasNellen/SNB_MoPo

Data vintage: April 2026 | Source: EFV / Federal Finance Administration

Institutional Framework

The **Federal Finance Administration** (EFV — Eidgenössische Finanzverwaltung / Administration fédérale des finances) manages the Swiss Confederation's financing needs. It issues debt in two maturity segments:

- **Money market**: Geldmarktbuchforderungen (GMBF), maturities up to one year.
- **Capital market**: Confederation bonds (Eidgenössische Anleihen), maturities from approximately 4 to 50 years.

The SNB as Fiscal Agent

The Swiss National Bank (SNB) acts as the Confederation's fiscal agent and *bank*. In this role it:

- Manages the Confederation's sight-deposit account at the SNB (the federal treasury account).
- Operates the auction platform for both GMBF and bond issuances on behalf of the EFV.
- Conducts settlement of issuance proceeds and redemption payments.
- Holds and administers the Confederation's *own holdings* (Eigenbestand) — tranches retained at issuance and placed opportunistically at a later date.

The Auction Platform

All issuances take place on the **SIX Repo Ltd** platform (formerly the Swiss repo system operated by SIX), using a uniform electronic tender process. Eligible participants are banks and securities dealers domiciled in Switzerland, and — for bond auctions — Swiss insurance companies. The SNB controls access and operates the technical infrastructure; EFV sets the issuance parameters (volume, maturities, minimum price or yield).

The same platform hosts the SNB's own monetary-policy repo operations (see the companion document `snb_mopo_overview.pdf`). Both the Confederation's debt auctions and the SNB's daily liquidity operations are conducted in this single electronic marketplace.

Geldmarktbuchforderungen (GMBF)

What They Are

GMBF (literally "money-market book-entry claims") are short-term, *zero-coupon* debt instruments issued by the Swiss Confederation at a discount and redeemed at face value (CHF 100) on the maturity date. They are book-entry securities (no physical certificate) held in the SIX Securities Services central depository, and they trade in the secondary market, though liquidity there is thin.

Maturities and Target Stock

Three standard tenors are in regular use:

Tenor	Approximate days	Typical ISIN count	Rotation
3-month	∼91 days	11 outstanding	Weekly
6-month	∼182 days	3 outstanding	Monthly (roughly)
12-month	∼364 days	2 outstanding	Bimonthly (roughly)

The EFV targets a total of **16 GMBF series** outstanding at any one time $(11 + 3 + 2)$. The target outstanding volume is set annually; in 2025 it was CHF 8–14 billion, with actual year-end stock of CHF 8.4 bn.

Auction Mechanics

- **Frequency**: every **Tuesday** (with rare exceptions for public holidays, when the auction shifts to Wednesday).
- **Subscription window**: **10:00–10:30 CET/CEST** on the SIX Repo Ltd platform.
- **Auction type**: rate tender with single-price (Dutch) allocation — all successful bidders receive the same marginal price. Non-competitive (price-less) bids are accepted up to a cap.
- **Settlement**: two bank working days after the auction date (**T+2**; Thursday value date in the standard case), with possible exceptions around public holidays.[1]
- **Issuance at discount**: each auction produces a *new* ISIN for that specific maturity date, priced below or around par. A price above 100 (premium) implies a negative yield.
- **Results publication**: the EFV publishes full results (price, yield, bids, allotment) on its website immediately after the auction; the annual XLSX is updated weekly.

[1] SNB, *Settlement of SNB repo transactions and SNB Bills to remain unchanged at T+2 even after migration to T+1 settlement cycle*, circular letter, 30 March 2026 (Department III, Money Market and Foreign Exchange): "The Federal Finance Administration is also maintaining the status quo with regard to the settlement cycles for the issuance of money market debt register claims (MMDRCs) and Confederation bonds." Switzerland's broader migration to a T+1 settlement cycle for exchange-traded securities is planned for 11 October 2027 (aligned with the EU/EEA and UK); GMBF and Confederation bond issuance are explicitly excluded from this shortening.

Pricing and Yields

GMBF yields closely track the SNB policy rate at the corresponding tenor. During the negative-rate era (2015–2022) GMBF yields were consistently negative, with the 3-month yield typically around −0.75% p.a. (matching the SNB policy rate); from mid-2022 to end-2024 they turned positive, peaking around +1.8% p.a.; they have returned to slightly negative territory in 2025–2026 following the SNB's rate cuts.

The bid-to-cover ratio on the 3-month tranche is typically **3–6**×, reflecting strong institutional demand. The 6- and 12-month tranches attract somewhat lower cover ratios.

Confederation Bonds (Eidgenössische Anleihen)

What They Are

Confederation bonds are long-term, fixed-rate bullet bonds issued by the Swiss Confederation. They pay an annual coupon and are redeemed at par at maturity. Maturities range from approximately **4 to 50 years**, making Switzerland one of the few sovereign issuers with a regularly issued ultra-long segment. Outstanding volume across all series totals approximately CHF 75 billion placed on the market (as of Q1 2026), with 23 live series.

Auction Mechanics

- **Frequency**: **monthly**, on the **second Wednesday** of each month. August is excluded; October and December auctions are optional depending on financing needs. This gives 9–11 auctions per year.
- **Subscription window**: **10:30–11:00 CET/CEST** on the SIX Repo Ltd platform.
- **Two tranches per auction**: each auction reopens exactly two existing bond series (tap issuances / Aufstockungen). This concentrates liquidity in a small number of benchmark series rather than creating many small illiquid lines.
- **Auction type**: price tender with uniform (Dutch) pricing — all accepted bidders pay the marginal price. Non-competitive bids are accepted.
- **Settlement**: approximately **T+14** (the second Friday after the auction date, or thereabouts), with possible exceptions around public holidays.[2]
- **Own holdings (Eigenbestand)**: the EFV may retain a portion of the allotment for its own account (column M in the results file). These own-holdings tranches are not counted as "placed on market" and are subsequently sold bilaterally at prevailing market prices when demand arises (see Section 3.4).
- **Results publication**: the EFV releases results immediately after the auction. The annual XLSX is updated after each monthly auction.

[2] Ibid. The same SNB circular of 30 March 2026 confirms that the EFV is maintaining its existing settlement convention for Confederation bond issuances unchanged, notwithstanding the planned T+1 migration for exchange-traded securities.

Series Management and Reopenings

Rather than issuing a new ISIN at each auction, the EFV builds up each series progressively through multiple tap issuances over several years until the desired benchmark size is reached (typically CHF 3–6 billion placed on market). A new series is started (identified by a provisional ISIN that becomes definitive at first settlement) only occasionally, when the maturity profile requires filling a gap.

Bond names follow the convention **"Eidg. DD.MM.YY/YY"**, where the first date is the first settlement date and the last two digits are the maturity year (e.g. "Eidg. 23.06.21/35" = Confederation bond first settled 23 June 2021, maturing 2035).

Own Holdings and Bilateral Sales

At each auction the EFV may choose not to place the full allotment with market participants, retaining a portion as *own holdings*. These are recorded in the auction results as "Additional own holdings not yet placed." The retained volume is subsequently sold bilaterally at market prices, typically at the request of a specific counterparty. These transactions are not separately announced; they are disclosed only in the EFV's annual activity report as aggregate figures (e.g. CHF 138 mn across 4 transactions in 2025).

This mechanism is functionally similar to a private placement in that it involves a direct transaction between the EFV and a single counterparty at a negotiated price, but it uses existing (already-issued) ISINs rather than creating new ones.

Yield Levels

Swiss Confederation bonds trade at among the lowest yields in the world, reflecting the AAA-rated sovereign's safe-haven status and the structural CHF demand. Yields have fluctuated substantially over the dataset period:

Period	10-year range (approx.)	Dominant driver
2011–2014	0.5%–1.5%	Euro-area crisis / safe-haven flows
2015–2021	−0.5%–0%	SNB negative rates, QE spillovers
2022–2023	0%–1.5%	Global rate normalisation
2024–2026	0.2%–0.8%	SNB easing cycle

Relationship to SNB Monetary Policy

Several interactions between Confederation debt issuance and SNB operations are worth noting:

- **Settlement flows**: GMBF settlement (Thursdays, T+2 from Tuesday auctions) and SNB Bill settlement (Mondays, T+2 from Thursday auctions) both drain CHF liquidity from the banking system on predictable dates each week, potentially creating temporary effects that show up in SARON.
- **Collateral**: Confederation bonds are the primary high-quality collateral used in Swiss repo markets (GC basket), meaning they underpin both the SNB's monetary-policy repos and private-sector short-term funding. New issuances expand the collateral pool available to the banking system.

- **Yield curve**: the SNB's policy rate anchors the short end; Confederation bond auctions reveal the long end. The slope reflects market expectations about future SNB rates and the term premium.
- **Coordination**: while EFV and SNB act independently, the publication of the annual GMBF and bond issuance calendars allows money-market participants to anticipate supply and manage their portfolio duration.

Variable Definitions

GMBF Auction Results (`efv_gmbf_auctions.csv`)

746 auction rows covering January 2012 to April 2026 (one row per auction per ISIN). Yields stored in per cent per annum; amounts in CHF millions.

Column	Type	Description
`auction_date`	date	Date of the auction (Tuesday)
`settlement_date`	date	Value date, T+2 bank working days after auction (Thursday in the standard case; exceptions possible around public holidays)
`maturity_date`	date	Redemption date at par
`term_days`	int	Exact calendar days from settlement to maturity
`term_bucket`	str	Rounded tenor: `91d` ($\leq$100 d), `182d` ($\leq$200 d), `364d` (otherwise)
`series`	float	Legacy series number (2012–2025 only; `NaN` from 2026 when dropped by EFV)
`isin`	str	ISIN of the specific maturity (CH...)
`total_bids_chf_mn`	float	Aggregate bids submitted (CHF mn)
`bids_no_price_chf_mn`	float	Non-competitive bids (without price indication; CHF mn); always fully accepted
`issue_volume_chf_mn`	float	Amount allotted to market (CHF mn)
`bid_cover`	float	Bid-to-cover ratio = total bids/issue volume; derived
`price`	float	Single marginal price (% of face value; e.g. 100.019 or 99.912)
`yield_pct`	float	Annualised yield at the marginal price (% p.a.); negative when price > 100

Bond Auction Results (`efv_bond_auctions.csv`)

297 tranche rows across 167 auction dates, covering November 2010 to April 2026 (two rows per auction date, one per reopened series).

Column	Type	Description
`auction_date`	date	Date of the auction (2nd Wednesday of the month)
`settlement_date`	date	Value date (≈T+14; exceptions possible around public holidays; maintained at this convention even after T+1 migration)
`maturity_date`	date	Final maturity of the bond
`residual_maturity_yrs`	float	Years from auction date to maturity; derived
`prov_isin`	str	Provisional ISIN (becomes the definitive ISIN at settlement; "-" for new series in some recent rows)
`fungible_isin`	str	ISIN of the existing benchmark series this tranche is fungible with (i.e. same bond, different settlement)
`bond_name`	str	EFV bond label, format "Eidg. DD.MM.YY/YY"
`coupon_pct`	float	Annual coupon rate (% p.a.; 0 = zero-coupon bond)
`total_bids_chf_mn`	float	Aggregate bids (CHF mn)
`bids_no_price_chf_mn`	float	Non-competitive bids (CHF mn)
`issue_volume_chf_mn`	float	Amount placed on market (CHF mn); excludes own holdings
`bid_cover`	float	Bid-to-cover ratio; derived
`price`	float	Marginal price (% of face value)
`yield_pct`	float	Yield to maturity at marginal price (% p.a.)
`own_holdings_not_placed_chf_mn`	float	Volume retained by the Confederation as own holdings at this auction (CHF mn); sold bilaterally later

Outstanding Bonds Snapshot (`efv_bonds_outstanding.csv`)

One row per live bond series; snapshot dated 31 March 2026. 23 series with a combined placed volume of CHF 75.4 bn and CHF 6.9 bn own holdings still available for bilateral sale.

Column	Type	Description
`isin`	str	Definitive ISIN (CH...)
`bond_name`	str	EFV bond label
`maturity_date`	date	Final maturity
`coupon_pct`	float	Annual coupon (%)
`total_issued_incl_own_chf_mn`	float	Total volume issued including all own holdings ever issued (CHF mn)
`total_placed_on_market_chf_mn`	float	Volume placed with market participants (excl. own holdings; CHF mn)
`own_holdings_placed_chf_mn`	float	Own holdings that have been placed bilaterally since first issuance (CHF mn)
`own_holdings_available_chf_mn`	float	Own holdings still held by the Confederation and available for future bilateral sale (CHF mn)
`snapshot_date`	date	Reference date of the snapshot

Data Sources and Reproducibility

All data are hosted by the EFV at https://www.efv.admin.ch/efv/en/home/finanzberichterstattu
The SNB website (https://www.snb.ch/en/the-snb/mandates-goals/services-to-the-confedera
links to the same EFV files and publishes individual press releases for each bond auction.
No API or CSV endpoint exists; all machine-readable data is in XLSX format only.

Dataset	Direct download URL
GMBF auction results	https://www.efv.admin.ch/dam/en/sd-web/d9FElh8dV0db/resultate-gmbf.xlsx
Bond auction results	https://www.efv.admin.ch/dam/en/sd-web/AFFQnqhWiEVW/resultate-anleihen.xlsx
Outstanding bonds	https://www.efv.admin.ch/dam/en/sd-web/K9gjjBZzAoPz/ausstehende-anleihen.xlsx
GMBF issuance calendar	https://www.efv.admin.ch/dam/en/sd-web/962GRmuHDjrK/GMBF-Kalender-2026.pdf
Bond issuance calendar	https://www.efv.admin.ch/dam/en/sd-web/kb0UB0FNnfjG/Kalender-Anleihen-2026.pdf

The download and parsing script is at `code/efv_debt_analysis.py` in the project repository. Running it from the project root reproduces all three processed datasets from scratch. Raw XLSX files are cached in `input/raw/` (gitignored) and only re-downloaded if absent.

Update cadence:

- GMBF file: updated every Tuesday after the auction.
- Bond file: updated after each monthly auction (second Wednesday).

- Outstanding bonds: updated by EFV periodically; typically reflects end of previous quarter.